

Functional Specification Document

Corporate Lending Digitalization Project

Client: Fidelity Bank Nigeria

Prepared by: Axe Finance Implementation Team

Version: 1.0 | **Date:** June 2026

1. Project Overview

Fidelity Bank Nigeria is one of Nigeria's leading commercial banks with over 6 million customers and a growing corporate banking portfolio. The bank has initiated a full digitalization of its corporate lending processes using the Axe Credit Portal (ACP) platform.

The current lending process is largely manual, paper-based, and fragmented across multiple departments. This results in long credit turnaround times (averaging 21 days), high operational risk, and limited visibility on credit portfolio performance.

Objective: Deploy and configure ACP to automate and digitalize the end-to-end corporate lending lifecycle — from KYC and origination through credit decision, loan servicing, and portfolio monitoring.

Project Duration: 6 months **Go-live Target:** December 2026 **Contract Value:** \$1.2M USD

2. Scope of Work

The following ACP modules are in scope for this implementation:

2.1 KYC & Corporate Onboarding

Configure the ACP onboarding screens for corporate clients. The bank requires a multi-step onboarding form collecting company registration details, financial statements (3 years), ownership structure, and compliance documentation (AML/CFT checks). The screens must enforce Nigerian Central Bank KYC guidelines.

Expected deliverable: Fully configured onboarding screens for corporate clients with validation rules and document upload capability.

2.2 Credit Scoring & Risk Assessment

Configure the bank's proprietary credit scoring model inside ACP. The model uses 14 financial ratios (liquidity, leverage, profitability, coverage) plus qualitative factors (industry sector, management quality, market position). The scoring output must produce a risk grade from A (lowest risk) to E (highest risk) and a recommended credit limit.

Expected deliverable: Automated scoring engine configured in ACP with Fidelity Bank's exact scoring methodology, integrated with the onboarding data.

2.3 Credit Approval Workflow

Configure a 3-tier approval workflow:

- **Level 1:** Relationship Manager (up to NGN 50M)
- **Level 2:** Credit Committee (NGN 50M to NGN 500M)
- **Level 3:** Board Credit Committee (above NGN 500M)

Each level must have configurable SLA timers, escalation rules, and rejection/conditional approval paths. Approvers must receive automated notifications at each stage.

Expected deliverable: Fully configured multi-tier approval workflow respecting Fidelity Bank's credit authority matrix.

2.4 Loan Conditions & Covenants Management

Configure the screen interfaces for capturing and tracking loan conditions and covenants post-approval. This includes financial covenants (annual ratio maintenance), reporting covenants (quarterly financial statements), and event covenants (change of control, mergers). The system must trigger alerts when covenant breaches are detected.

Expected deliverable: Configured screens for covenant entry and monitoring with automated breach alert rules.

2.5 Credit Portfolio Monitoring Rules

Configure early warning system rules to monitor the corporate credit portfolio. The bank requires 12 monitoring indicators including payment delinquency (>30 days), significant drop in turnover (>20%), adverse industry news triggers, and collateral value deterioration. Each indicator must have configurable thresholds and automatic risk flag generation.

Expected deliverable: Configured portfolio monitoring ruleset with automatic risk flagging and alert generation.

3. Stakeholders

Role	Name	Responsibility
Project Sponsor	EVP Corporate Banking	Final approval authority
Business Owner	Head of Credit Risk	Business requirements validation
IT Lead	CIO	Technical integration oversight
ACP Project Manager	TBD (Axe Finance)	Overall delivery coordination
Business Analyst	TBD (Axe Finance)	Requirements gathering & configuration

Role	Name	Responsibility
Technical Consultant	TBD (Axe Finance)	Technical configuration & integration

4. Functional Requirements by Module

Module 1 — KYC & Onboarding Screens

FR-001: The system shall provide a multi-step corporate onboarding form with the following sections: Company Information, Financial Data, Ownership Structure, Compliance Documentation.

FR-002: All mandatory fields must be enforced with clear validation messages in English.

FR-003: The onboarding form must support document attachment (PDF, max 10MB per document).

FR-004: The system must validate Nigerian RC (Registration Certificate) number format.

FR-005: Completed onboarding data must automatically feed into the scoring module.

Module 2 — Credit Scoring Engine

FR-006: The scoring engine must calculate 14 financial ratios automatically from uploaded financial statements.

FR-007: The system must apply Fidelity Bank's weighting matrix (provided separately in Annex A) to produce a composite score.

FR-008: The scoring output must display the risk grade (A to E), composite score (0-100), and recommended credit limit.

FR-009: Scoring rules must be modifiable by authorized Credit Risk users without IT intervention.

FR-010: The system must maintain a full audit trail of all scoring changes.

Module 3 — Approval Workflow

FR-011: The workflow must enforce the 3-tier approval matrix as defined in Section 2.3.

FR-012: Each approval level must have a configurable SLA (default: 48 hours per level).

FR-013: Automatic escalation must trigger when SLA is breached, notifying the supervisor of the approver.

FR-014: Approvers must be notified by email and in-system notification when a file reaches their queue.

FR-015: The workflow must support conditional approval (approval with conditions attached) and deferred approval (request for additional information).

Module 4 — Covenant Management Screens

FR-016: The system shall provide screens for capturing covenant details at loan booking.

FR-017: Covenant monitoring must trigger automated alerts 30 days before covenant review dates.

FR-018: Breach detection rules must run on a nightly batch and flag any violations.

FR-019: The covenant breach screen must allow Credit Risk officers to record breach waivers with justification.

Module 5 — Portfolio Monitoring Rules

FR-020: The system must evaluate 12 early warning indicators on a weekly basis.

FR-021: Each indicator must have configurable thresholds adjustable by Credit Risk management.

FR-022: The system must generate a Risk Dashboard showing portfolio health by sector, grade, and exposure.

FR-023: Automatic risk flag generation must create a task for the Relationship Manager when triggered.

5. Non-Functional Requirements

- **Performance:** Credit application processing must not exceed 3 seconds response time.
 - **Availability:** 99.5% uptime during banking hours (8AM–6PM WAT).
 - **Security:** All data encrypted at rest and in transit. Role-based access control aligned with CBN guidelines.
 - **Compliance:** Full audit trail for all credit decisions per CBN Prudential Guidelines 2023.
-

6. Integration Requirements

- Core Banking System (Finacle): Loan booking and account data synchronization
 - Email Gateway: Notification delivery for workflow approvals
 - Document Management System: Archiving of credit files
-

7. Constraints & Assumptions

- All configuration must be completed using standard ACP modules — no custom development.
- Fidelity Bank will provide the scoring weighting matrix (Annex A) within 2 weeks of project kickoff.
- Nigerian regulatory requirements (CBN) take precedence over standard ACP defaults.

- The bank's IT team will handle Finacle integration separately.

8. Acceptance Criteria

Each module will be accepted when:

1. All functional requirements listed in Section 4 are demonstrably met in UAT.
2. End-user training has been completed for all relevant staff.
3. No critical or high-severity defects remain open.
4. Performance benchmarks from Section 5 are met under simulated load.

9. Risks & Mitigation

Risk	Probability	Impact	Mitigation
Delay in scoring matrix delivery	Medium	High	Placeholder model for parallel configuration start
CBN regulatory changes during project	Low	High	Modular configuration allows fast rule updates
Staff availability for UAT	Medium	Medium	UAT schedule agreed upfront in project charter
Finacle integration delays	High	Medium	ACP configured standalone first, integration in Phase 2